L_0_18_Legal_Contracts

Legal & Contracts Governance Framework – RAM

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1. Purpose

To establish a structured legal and contractual governance framework ensuring:

- Legal compliance
- Risk mitigation
- Standardized contracting
- Protection of RAM's assets, brand, IP, and interests
- Controlled approval and execution process

This section integrates with:

- 07_Risk_Compliance
- 11_Finance_Accounting
- 13_Procurement_Commercial
- 16_Sales_Marketing_Commercialization
- 14_Human_Resources_Interface

18.1 Legal Governance Structure

Policy Statement

All contracts, legal documents, commitments, and legally binding communications must:

- Be reviewed by Legal function
- Follow approved templates
- Undergo defined approval workflow
- Be archived in the Contract Management System (CMS)
- Be linked to financial, procurement, or sales documentation

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Legal Structure Model

Layer	Responsibility
Board	Oversight on major legal exposure
CEO	Final authority for high-value contracts
Legal Advisor / Legal	Drafting, review, risk assessment

Layer	Responsibility
Manager	
Department Heads	Business justification
Finance	Financial exposure validation
Procurement / Sales	Commercial terms validation

18.2 Contract Lifecycle Management (CLM)

SIPOC – Contract Lifecycle

Supplier	Input	Process	Output	Customer
Business Unit	Contract Request	Draft → Review → Approve → Sign → Archive	Executed Contract	RAM & Counterparty
Legal	Legal Templates	Risk Review	Legal Clearance	Business Unit
Finance	Budget Approval	Financial Validation	Financial Sign-off	Legal
Counterparty	Negotiation Comments	Negotiation	Final Signed Version	RAM

BPMN Flow (High-Level)

1. Contract Request Form Submitted
2. Template Selection
3. Draft Preparation
4. Legal Review
5. Commercial Review
6. Financial Approval
7. CEO/Authorized Signatory Approval
8. Execution (Wet or Digital Signature)
9. Contract Registration & Archiving
10. Monitoring & Renewal Tracking

RACI Matrix

Activity	Business Unit	Legal	Finance	CEO	Admin
Contract Initiation	R	C	C	I	I

Activity	Business Unit	Legal	Finance	CEO	Admin
Drafting	C	R	C	I	I
Risk Assessment	I	R	C	I	I
Financial Approval	C	C	R	I	I
Final Approval	I	C	C	R	I
Archiving	I	C	I	I	R

R = Responsible
A = Accountable
C = Consulted
I = Informed

18.3 Contract Categories

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1 Commercial & Revenue Contracts

- Sales Agreements
- Service Agreements
- Partnership Agreements
- Licensing Agreements
- Framework Agreements
- NDA (External)

2 Procurement & Vendor Contracts

- Supplier Contracts
- Purchase Agreements
- Consultancy Agreements
- Outsourcing Contracts
- SLA Agreements

3 HR & Employment Contracts

- Employment Contracts
- Independent Contractor Agreements
- Non-Compete Agreements
- Confidentiality Agreements

4 Strategic & Investment Contracts

- Shareholder Agreements

- JV Agreements
- MoUs
- Investment Agreements

5 Real Estate & Facility Contracts

- Lease Agreements
- Facility Management Contracts

18.4 Risk Classification Model

Risk Level	Value Threshold	Legal Complexity	Approval Level
Low	< X	Standard Template	Dept Head
Medium	X–XX	Minor Deviation	CEO
High	> XX	Custom Drafting	Board

18.5 Key Legal Clauses Governance

Every contract must clearly address:

- Scope of Work
- Payment Terms
- Term & Termination
- Liability Cap
- Indemnification
- Confidentiality
- Data Protection
- Intellectual Property Ownership
- Force Majeure
- Dispute Resolution
- Governing Law
- Assignment & Subcontracting

18.6 KPI Framework

KPI	Target
Contract Turnaround Time	< 5–10 working days
% Using Standard Templates	> 85%
Contract Compliance Rate	100%
Renewal Tracking Accuracy	100%

Dispute Incidence Rate	< 3%

18.7 Contract Repository & Digitalization

All contracts must be:

- Digitally stored in central repository
- Indexed by:
  - Contract Type
  - Department
  - Counterparty
  - Expiry Date
  - Value
- Linked to ERP (SAP or equivalent)
- Equipped with:
  - Automated renewal alerts
  - Risk tagging
  - Version control

18.8 Forms & Templates

F_18_01 – Contract Request Form

- Department
- Contract Type
- Estimated Value
- Risk Category
- Budget Reference
- Justification
- Timeline

F_18_02 – Legal Risk Assessment Form

- Clause Deviations
- Liability Risk
- Financial Exposure
- Regulatory Risk
- Recommendation

F_18_03 – Contract Summary Sheet

- Key Terms Overview
- Payment Terms
- Term Duration

- Renewal Date
- Risk Rating

F_18_04 – Contract Amendment Form

F_18_05 – Contract Termination Notice Template

18.9 Compliance & Regulatory Monitoring

Legal Function must monitor:

- Corporate Law
- Tax Law
- Labor Law
- Data Protection
- Sector-specific regulations
- International compliance (if applicable)

Annual Legal Compliance Review mandatory.

18.10 Legal Risk Dashboard

Dashboard should include:

- Active Contracts by Type
- Contracts by Risk Level
- Expiring within 90 Days
- Pending Legal Review
- Litigation Cases
- Disputes Status

18.11 Contract Authority Matrix

Level	Signing Authority
Department Head	Low-value contracts
CEO	Medium-value
Board	Strategic / High-risk

No contract valid without authorized signature.

18.12 Dispute Management Framework

1. Internal Escalation
2. Negotiation
3. Mediation
4. Arbitration
5. Litigation

All disputes must be registered in Legal Case Log.

18.13 Internal Control Linkages

Legal interacts with:

- Finance (liability & revenue recognition)
- Procurement (vendor governance)
- Sales (commercial exposure)
- HR (employment law)
- Risk & Compliance (legal exposure register)

18.14 Audit & Review

- Annual Contract Audit
- Random Clause Compliance Check
- Post-Contract Review for Major Deals
- Lessons Learned Repository

18.15 Governance Diagram (Layered Architecture)

Level 1: Strategic Governance

- Board Oversight
- CEO Authority
- Risk Committee

Level 2: Legal Control

- Templates
- Risk Assessment
- Compliance Review

Level 3: Operational Execution

- Drafting
- Negotiation
- Approval
- Signing

Level 4: Monitoring

- KPI Dashboard
- Renewal Alerts
- Dispute Tracking
- Audit

Deliverable Naming Convention

L_0_18_Legal_Contracts

Integrated within RAM Enterprise Policy & Procedure Architecture.

Next to do

- 19_Insurance_Claims
- 20_Corporate_Governance
- Or convert 18_Legal_Contracts into Board-Grade Visual Architecture Diagram